

PITCH — KNSL — VERDICT

ADJUDICATED 2026-09-10 — HOLD — NO ADD (RP_FAIR), conviction 8/10. Hold the 37 shares; no add; no premium sale; NOTHING IS STAGED and no order instruction exists. The regime/drawdown thesis was REJECTED for this name. The ‘exit the 37 shares’ line that appeared in the draft was bench-authored and is VACATED; the July 23 ‘STAGE a tranche-1 starter’ ruling is SUPERSEDED. See the EVENT ADDENDUM for the ruling.

What we believe

Kinsale is a good insurance company at a price that already assumes it stays good. Two separate things are true and we are not allowed to blur them:

1. **The business is still working.** Net earned premium +8.9% to \$417.6M, investment income +19.9%, operating earnings per share +15.9%, and a 24.4% operating return on equity for the first half. That is not decay.
2. **The stock is not cheap, and the story we were originally told was arithmetically wrong.** The “11.7x earnings” that started this idea came from annualizing one quarter of *accounting* earnings (\$7.72) that included gains on Kinsale’s own investment portfolio. On the company’s own *operating* earnings (\$5.54/qtr), the stock is **16.25x** at \$360.11; on the street’s 2026 number (\$21.17) it is **17.0x**; on book value (\$89.34/share) it is **4.03x**.

So our belief is narrow and unglamorous: **right business, wrong price**. The cheapness we thought we found does not exist, and the thing we said would kill the idea — softening prices in excess & surplus insurance — has *already happened and is already in a filing*. Gross written premium fell 5.0% to \$527.6M, commercial property premium fell 32.7%, and management said on the record it will not chase volume that damages returns (Q2-2026 earnings release, Ex-99.1 to the 8-K filed 2026-07-23).

The one genuinely new, useful fact: **the company itself bought its own stock at an average of \$311.47 last quarter** (\$100.0M for 321,055 shares). The best-informed buyer in the world was accumulating 13.5% below where we are being asked to add. We take that as our entry gate rather than inventing our own.

What the market believes

The market believes almost exactly what the numbers say, which is why there is so little room here. Eighteen analysts cover it, the consensus stance is “hold,” and price targets cluster roughly \$361–403 — i.e. **around today’s price**. Estimates have come down only 1.7% over three months

while the stock is down 25.6% from its 52-week high. So the market has not marked down the *earnings*; it has marked down the *multiple* it will pay for a company whose top line has stopped growing. Post-print the shares actually rose — the soft market was not a surprise to anyone but us.

Translated: the market believes Kinsale keeps earning mid-teens growth in per-share operating profit, keeps a mid-20s return on equity, and no longer deserves a 25x growth multiple. Our own forecast sits on top of the street's. When your number equals the street's number, you are not being paid for insight.

Why we might have edge

Honest answer: **thin, and mostly procedural rather than analytical.**

- **The revealed-price anchor.** Neither bench initially computed the company's own average buyback price. Dividing dollars by shares in the filing gives \$311.47. Using the issuer's clearing price as an entry gate — rather than a chart level — is a real, repeatable discipline, and it happens to land near the price the bear case independently called “where the soft cycle is paid for” (~\$300).
- **A mechanism both benches only half-saw.** Kinsale is keeping more risk itself as prices soften: gross premium –5.0% but *net* written premium only –1.4%, and the expense ratio rose to 21.7% from 20.7% because it gave up ceding commissions from reinsurers. This flatters the reported numbers today and quietly puts more loss volatility on Kinsale's own balance sheet at the exact moment loss estimates are least conservative. The market reads the expense-ratio rise as sloppiness; it is a deliberate risk choice. Knowing the difference tells us *which* bad quarter to expect.
- **The borrowed-margin clock.** The 75.5% combined ratio benefited from 4.5 points of favorable development on old (hard-market 2022–24) policies — a \$19.4M release. Business written into today's falling prices becomes the “prior years” of 2028–30. That reversal is dateable in principle, and almost nobody models it.
- **Position size lets us be patient.** 37 shares (~\$13.3K) is a rounding error. We can wait for \$311 without cost.

That is the whole edge list. None of it is a reason to own the stock at \$360.

Why it might be priced in

Nearly all of it.

- The soft market is not a forecast; it is a **filed fact** from 2026-07-23. Anyone who read the release knows.
- “Use operating, not GAAP, earnings” is standard practice on every sell-side desk. Our multiple correction gave us the truth, not an edge — it corrected *our* error, not the market's.
- The valuation is a completed de-rating, not a mispricing: 17x forward on a mid-20s ROE compounder with a shrinking top line is a defensible, consensus-looking price.
- The buyback is disclosed publicly, so \$311 is not a secret level.

- The interest-income tailwind we leaned on is trivially small: 19 basis points across ~\$4.5B of invested assets is about **\$8.6M pretax $\approx$ \$0.30/share after tax $\approx$ 1.4%** of this year's earnings. One point of accident-year combined ratio on \$1.67B of earned premium is **~\$0.58/share — about twice as big** and moving the wrong way.

What could go wrong

Failure narrative 1 — We buy the \$311 gate and the cycle keeps going (monitorable)

Prices keep falling in casualty, not just property. Gross premium goes $-5\% \rightarrow -10\%$; the company writes less, earned premium rolls over 2–3 quarters later, and the multiple compresses toward 12–13x on *falling* estimates. \$311 stops being a floor and becomes a waypoint to \$260 ($\approx 2.9\times$ book).

Tripwires: consolidated gross premium still negative on 2026-10-22; ex-commercial-property growth below $\sim 4\%$; price through \$288 (the 52-week low).

Failure narrative 2 — The borrowed margin reverses (monitorable, but only once a year)

Favorable development goes from +4.5 points to zero to *negative*. Because Kinsale simultaneously raised its retention, an adverse move is no longer partly absorbed by reinsurers — it lands fully on us. A single reserve-strengthening 8-K on a 4x-book stock is a 20–30% event. **Tripwires:** development contribution under 2 points is fine, above 5 points is a *warning* (borrowing more), a negative number is the event; accident-year combined ratio above 80%; any further retention step-up. Note the honest weakness: the real test — the loss development triangles — prints **once a year**, in the 10-K (est. 2027-02-25). We are blind for four quarters at a time.

Failure narrative 3 — NO MONITORABLE TRIPWIRE

Unknown-unknown class: latent liability / social-inflation regime shift in long-tail casualty.

Kinsale's book is casualty-dominant and long-tail. The thing that historically destroys specialty insurers is not a hurricane you can see on radar; it is a legal and jury environment that re-prices policies written five years ago — mass-tort theories, litigation funding, expanded coverage rulings, a novel exclusion read against the insurer. There is no dataset, no filing cadence, no connector, and no price level that warns us. We do not know the geographic or class mix of what is in force, because insurers do not disclose geocoded exposure. By the time it is visible it is in the reserves, and reserves only speak annually. **We cannot arm a sensor for this. We accept it as the price of owning any casualty underwriter, and it is the single best reason to own less than we think we should.** A related unarmed cousin: a mega-catastrophe hitting the retained (now larger) property net — the direction is knowable, the magnitude is not.

The reflexive / structural leg — our own size, flow, and doctrine interactions

- **Our size is irrelevant to the tape and that cuts both ways.** 37 shares against a stock that trades tens of millions of dollars a day means we have zero market impact and zero exit risk — but it also means this position cannot pay for the attention it is consuming. (Honest gap: no

average-daily-volume figure was actually pulled by either bench; we call it plausible, not measured.)

- **The dominant predicted flow is not ours, it is the company's.** Repurchases ran 321,055 shares / \$100.0M in one quarter — roughly 1.4% of shares outstanding in a quarter, ~5% annualized, with authorization raised by \$250M to \$337M. That is a real bid *below* the tape. The reflexive trap: it supports the stock near \$311 and thereby prevents us from ever getting a genuinely washed-out price, so we either pay up or never own it. If the company slows the buyback (because it is preserving capital for reserves), our floor and our thesis fail *together*.
- **Doctrine interaction.** Two of our rules point in opposite directions here: “buy where the issuer buys” says \$311; “do not add into a confirmed negative fundamental trend” says do not buy at all while gross premium is negative. If we let the price gate fire mechanically without the fundamental gate, we will buy exactly the falling knife the buyback is slicing. **The gates are AND, never OR.**
- **Correlation we must not net out.** Our two legs — higher investment yield and premium growth — are not independent. Float grows only because premium grows. A soft market attacks the *base* of the investment income, not just the rate. We are not allowed to offset one against the other.

If this position loses money, the most likely reason will be ____ that we treated the company's own \$311 buyback price as a floor and bought into a softening casualty cycle whose loss picks had not yet been tested, so the multiple and the reserves de-rated at the same time.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“11.7x earnings — stock is cheap”	8-K Ex-99.1 EPS table; pack tape	GAAP \$7.72/qtr vs operating \$5.54/qtr; 1H operating \$10.64. $360.105 \div 22.16 = 16.25x$; street FY26 = 17.0x ; P/B 4.03x	NO — refuted. Our own error. The gap was mark-to-market on the company's equity portfolio (it files a 13F-HR)
“Nothing changed, it's a mis-sort”	EDGAR filing list + 8-K of 2026-07-23	GWP -5.0% to \$527.6M; commercial property -32.7%; ex-property +3.7%; management named a softening market. Shares <i>rose</i> post-print	NO — refuted. Our stated kill condition had already fired, in writing, before we wrote the pitch
“Rising front-end yields carry the thesis”	8-K investment income + arithmetic	19bp on ~\$4.5B invested assets = \$8.6M pretax $\approx$ \$0.30/sh after tax $\approx$ 1.4% of FY26E ; one combined-ratio point $\approx$ \$0.58/sh	NO — mechanism is ~2x too small to matter
Red bench's version of the same math	Recomputed	Red used \$3.4B float as the earning base, which implies a 6.55% book yield — impossible. Right base is total invested assets (~\$4.5B at ~4.9%)	BENCH ERROR (red), corrected by blue. Conclusion unchanged

Claim	How checked	Found	Confirmed?
"A 19bp rise marks down book value" (red's rebuttal)	Duration math	$19\text{bp} \times \sim 2.9\text{yr} \times \sim \$4\text{B} \approx \$22\text{M} \approx \$0.97/\text{sh} \approx \mathbf{1.1\% \text{ of book}}$	BENCH ERROR (red). Red called a small number immaterial in one finding, then used an equally small number as a rebuttal in the next
"Rates rallied and the 2-year rose 19bp"	Plain reading	A rally is <i>falling</i> yields. The sentence asserts both directions	BENCH/BRIEF ERROR — incoherent as written. The 19bp itself was never verified: no rates data source exists in our toolkit
Expense ratio 21.7% vs 20.7% = "operating deleverage"	8-K explanation	Company states the rise is from higher reinsurance retention → lower ceding commissions , with the underwriting margin retained	BENCH ERROR (red) — overturned. It is a risk choice, not decay
Margin quality of the 75.5% combined ratio	8-K	4.5 points of favorable prior-year development (\$19.4M release) → accident-year combined ratio ~80%	YES — margin is partly borrowed. Sizing issue, not a kill
"Float will stall"	Float series vs earned premium	Float \$3.1B → \$3.4B (+10%) while NEP +8.9%	Only PLAUSIBLE, not confirmed — it is a forecast, not a fact. Red overstated it as CONFIRMED
"Short-tail underwriter"	Business mix	Kinsale is casualty-dominant / long-tail ; float per premium dollar is high and sticky, which argues <i>against</i> a fast stall	BRIEF ERROR; red missed it entirely
"Base case \$400 requires multiple expansion"	Period check	$\$400 \div \text{street FY27 } \$23.60 = \mathbf{16.9x}$ — flat, not expansion. Red compared a 6–12 month target to a FY26 number	BENCH ERROR (red) — partially overturned. The prize is <i>thin</i> , but it does not require a re-rating
Prize arithmetic on the live tape	Recomputed on pack px 360.105	EV 393.6 = +9.30% ; +50% needs \$540.16	YES, with both benches slightly off: red said +9.6% (used px 359.19), blue +9.2% (used px 360.41). Neither used the pack's 360.105. Same for drawdown: pack is –25.61% / +25.04% off low , not red's –25.8%/+24.7% or blue's –25.55%/+25.14%
Buyback materiality	8-K/10-Q disclosure	321,055 sh for \$100.0M in Q2 alone = ~1.4% of shares in one quarter, ~5%/yr; authorization +\$250M to \$337M	BENCH ERROR (red) — understated as "∼4% of cap." Real per-share tailwind
Company's own average buy price	$\$100.0\text{M} \div 321,055$	\$311.47 , 13.5% below the tape	YES — this is our entry gate. Neither bench computed it initially
Insider selling (Form 4s 5/6, 5/12, 5/26, 5/27, 6/9 + a 144	Filing list only	Pattern looks like distribution into the decline; no	NOT CHECKED — magnitude unverified. Both

Claim	How checked	Found	Confirmed?
on 5/26)		share/dollar totals pulled	benches left it open. Drainable now
Detector/screen sweep	Both benches' lists	Almost all not-applicable (no consumer app, no permits, no rental units, wrong industry). Red audited five screens that are not on this pack's list and skipped five that are	PROCEDURAL BENCH ERROR (red). Blue's sweep governs
Can any tool measure E&S rate adequacy?	Coverage review	No. And mapping in-force catastrophe exposure is impossible because insurers do not disclose geocoded exposure — a missing <i>disclosure</i> , not a missing tool	CONFIRMED GAP. The binding evidence here was a filing, not a data feed
Q3 print date 2026-10-22	Pack provenance	Derived from a market-data vendor, not confirmed by a company press release	UNCONFIRMED

PROPOSED ENTRY BANDS

Both courts say NO ENTRY at \$360.11. There is no immediate buy. What follows are the exit and the reopen bands, taken from the benches' own math.

Immediate action — exit, not add - Sell all 37 shares at market, ~\$360.11 (~\$13,324). Average cost \$322.03, so this realizes a gain of about **\$1,409 (+11.8%)**. Rationale: the position is immaterial, the original thesis is refuted on its own arithmetic, and holding it occupies a research slot for a 9% expected return.

Reopen bands (all conditions are AND, never OR) - Rung 1 — ≤ \$311.47 (the company's own Q2 average repurchase price; ≈3.49x book, ≈13.2x street FY27). Size: **1.0% of book**. Requires, at the 2026-10-22 print: (a) consolidated gross written premium inflecting **positive**; (b) accident-year combined ratio excluding development **≤80%** with development contribution **<2 points**; (c) **no further reinsurance retention step-up**; (d) buyback still running at ≥\$75M/qtr. - **Rung 2 — ≤ \$300.00** (≈14.2x FY26E, ≈3.36x book — the bear bench's own "the soft cycle is paid for" level). Size: **+1.0% of book** (2.0% total). Same three fundamental conditions still true. - **Hard stop on adds — \$288.00** (52-week low). Below this, **no adds at any price**; re-court the name from scratch. Breaking the low while gross premium is still shrinking means failure narrative 1 or 2 is playing out, not that the stock got cheaper. - **Do-not-chase ceiling — \$340**. If the 10/22 print is clean but the stock never trades to \$311, we do not buy. We accept missing it. The whole edge is the entry price; without it there is no position. - **Trim / exit if re-entered**: trim half at **\$393.60** (the probability-weighted fair value — do not confuse the expected value with a target), exit the rest at **\$450** or on any reserve-strengthening 8-K, whichever comes first. - **Maximum size, ever: 2.0% of book**. Justification: the third failure narrative has no sensor.

Catalyst dates: 2026-10-22 (Q3-2026 results, date **not company-confirmed**) · 2027-01-01 (reinsurance treaty renewal — where a further retention step-up would appear) · 2027-02-25 (FY2026 10-K estimated; the only annual look at reserve adequacy) · 2027-03-09 (end of the 8-K watch window).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 300.0 (deck-provisional: reopen rung 2; approx 14.2x FY26E and 3.36x book — the level at which the soft cycle is paid for)
- filing watch: 8-K until 2027-03-09 (deck-provisional: Q3-2026 results and any Item 8.01 catastrophe-loss or reserve-strengthening announcement through 2027-)
- dated pack KNSL-EXITREVI2026-10-22: AUTO-DATED 08-06 from the EC exit_band block: review/re-derive the KNSL exit expression (rungs/alerts/exemption) on this date; verify the pr
- dated pack KNSLI2026-10-22: RP_FAIR: 4.0x book = residual-income fair at 24.8pct ROE; accident-year fair ~\$304. HOLD 37sh, no add, no premium sale (IV 8th pctl). Re-c
- dated pack KNSLI2027-02-25: KNSL: FY2026 10-K (estimated): loss development triangles, the only annual test of reserve adequacy (date confirmed=False)
- dated pack KNSLI2027-01-01: KNSL: reinsurance treaty renewal — where a further net-retention step-up would appear and fail reopen condition (c) (date confirmed=False)
- dated pack KNSLI2027-03-09: KNSL: end of the 8-K watch window (date confirmed=False)

What remains unverified

1. **Direction of E&S casualty rate change.** Whether prices are still falling outside commercial property. Not drainable now — no rate-filing or submission-flow dataset in the toolkit, and this is the single axis the thesis turns on. Estimate: E&S casualty rate change **-2% to +2%** over the next four quarters (from the company's own "ex-commercial-property +3.7%" growth alongside a competitive-market description); probability that casualty rate change is *negative* by the 10/22 print ≈ 0.45 .
2. **Loss development triangles / the true base rate of favorable development.** No triangle has been pulled; the 4.5-point release is taken on faith. Time-gated to the FY2026 10-K (est. 2027-02-25). Estimate: favorable development of **+2 to +5 points** in each of the next two years, decaying toward **0 to -2 points** by 2028-29 as hard-market vintages exhaust; probability that development is ≤ 2 points by FY2027 ≈ 0.4 .
3. **In-force property catastrophe aggregate by geography.** Structurally undisclosed — this is a missing *disclosure*, not a missing connector. Estimate: net probable maximum loss of roughly **3-7% of equity at a 1-in-100 event**, from peer specialty-insurer disclosure norms; and it is *rising* because retention went up. Probability a single event exceeds 5% of equity in any year ≈ 0.1 .
4. **2027 reinsurance treaty terms.** Whether retention goes up again at the 1/1 renewal. Not knowable until disclosed. Estimate: **60% chance of a further retention increase**, given the pattern already shown (GWP -5.0% vs NWP -1.4%) and softening reinsurance pricing.

5. **New-money investment yield and book yield.** The reinvestment mechanism's actual size. Next disclosed 2026-10-22. Estimate: book yield **4.9% → 5.0–5.2%**, i.e. worth **≈\$0.30/share after tax**, ~1.4% of earnings — confirmed small, but the exact step is open.
6. **Insider sale magnitude** from the 5/6–6/9 Form 4 cluster plus the 5/26 Form 144. Draggable now — nobody did it. Estimate: **\$5–25M** aggregate, consistent with routine 10b5-1 scale at this market cap; probability it represents non-routine distribution ≈ 0.2 .
7. **Options chain, chain-level implied volatility, and average daily volume.** No chain and no volume figure are in this pack, which is why the vol read below is arithmetic-only. Draggable now via the broker gateway.
8. **Confirmation of the 2026-10-22 report date.** Vendor-derived. Draggable now from the company's investor-relations page. Estimate: **85%** likely correct within ± 3 business days.

PRIZE TABLE + VOL READ

Anchor first, then adjust. **Anchor = today's price, \$360.105** (the pack tape — not red's \$359.19, not blue's \$360.41). Adjustments are the bear/base/bull states both benches converged on.

Scenario	What happens	Prob	Price	Multiple sanity check	Contribution
Bear	Casualty prices follow property down; GWP stays negative; development thins toward 2 points	0.24	\$290	$\approx 13.7\times$ FY26E, $\approx 3.25\times$ book	69.6
Base	Growth troughs, operating EPS compounds low-teens, multiple stays put	0.51	\$400	$\approx 16.9\times$ street FY27 (\$23.60) — flat multiple, no re-rating needed	204.0
Bull	Ex-property growth re-accelerates $>8\%$, GWP inflects positive, 24% ROE re-rates	0.25	\$480	$\approx 20.3\times$ FY27	120.0

EV = \$393.60 → +9.30% from \$360.105. A +50% outcome requires **\$540.16**, which is above the 52-week high (\$484.08) and above our own bull case. **The prize does not justify the position at today's price.** From the \$311.47 reopen gate, the same table pays **+26.4%** — which is why the entire idea is an entry-price idea.

Vol read — the honest version: there is no options chain in this evidence pack, so no chain-level midpoint implied vol, no implied-vs-realized spread, and no implied-vol percentile can be shown. We refuse to substitute an aggregate/underlying implied-vol feed for chain-level midpoints — that substitution is exactly the TSSI 71-vs-101 mistake (the aggregate feed read 71 while the actual chain read 101, and the trade was sized off the wrong one). Item 7 above is the drain.

What we *can* show is our own table's dispersion, which is what any option would have to be priced against:

- Standard deviation of the table = **\$66.81 = 18.55% of spot** over the ~9-month window to the FY-2026 10-K → **≈21.4% annualized** ($18.55\% \div \sqrt{0.75}$).
- Our own value for a \$400 call (the base case strike): $C_{ours} = \sum p_i \times \max(S_i - 400, 0) = 0.25 \times \$80 = \mathbf{\$20.00}$ (5.6% of spot). For a \$450 call: $0.25 \times \$30 = \mathbf{\$7.50}$. Note what this exposes — with only one scenario finishing above \$400, **all of a \$400 call's value comes from a single 25% branch**. That is a lottery ticket, not a position.
- **Decision rule, shown:** buy calls only if chain-level midpoint $IV \times \sqrt{T}$ is *below* our table's 18.55% (i.e. the market prices less dispersion than we see) — and only if a \$400 call can be bought under \$20.00. Sell premium only if chain IV runs materially *above* ~21% annualized with a positive implied-minus-realized spread. Since specialty-insurer implied vol typically runs near or above 25–30% annualized, **the prior is that IV is rich relative to our own 21% table dispersion — which routes to premium-selling, not call-buying**. That prior is unconfirmed and must not be traded on.
- **Bimodality:** the table is fork-dated on the 2026-10-22 print — the bear and bull branches both resolve there, and the middle 51% is a non-event. A fork like this makes single-strike calls unattractive relative to the stock, because most of the probability mass lands near the strike-less middle.

Instrument recommendation, as the output of the arithmetic above: NONE now; STOCK at the gate. Expected return of +9.30% against 18.55% dispersion is a payoff-to-risk ratio of ~0.5 — below any threshold we use. At \$311.47 the same table gives +26.4% against similar dispersion (~0.8x → ~1.4), which clears. A cash-secured put at the \$310 strike is the theoretically correct expression of “I want it at \$311, I’m paid to wait” — **but we cannot recommend it without the real chain:** if the \$310 put’s actual bid does not annualize above ~8% on collateral, we are being paid nothing for taking assignment risk in a softening cycle, and we should simply place the limit order. **Pull the chain (item 7), then choose. Not before.**

TAX overlay. The immediate action realizes a **gain** of ~\$1,409, not a loss — so there is nothing to harvest here and no loss branch to place in a tax year. Forward-looking, and binding: any option expression used for the gated re-entry must have its **loss branch land inside the intended tax year**. An expiry after December 31 defers the loss into the following year, so during a harvest year long-dated calls or puts expiring in January or later are **excluded** unless the edge numerically dominates the deferral cost. Since the arithmetic above shows the edge does *not* dominate — it does not even clear our own threshold at today’s price — the tax overlay is not a close call: **no dated option structure crossing the year boundary**. Stock at the gate, or nothing.

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{"price_gates": [{"level": 288.0, "direction": "below", "basis": "52-week low; halt all adds and re-court – failure narrative 1 or 2 is playing out"}, {"level": 311.47, "direction": "below", "basis": "issuer's own Q2-2026 average repurchase price ($100.0M / 321,055 sh); arms reopen rung 1 checklist, does not authorize a buy"}, {"level": 300.0, "direction": "below", "basis": "reopen rung 2; approx 14.2x FY26E and 3.36x book – the level at which the soft cycle is paid for"}, {"level": 393.6, "direction": "above", "basis": "probability-weighted fair value from our own table is exceeded; if still held, trim"}], "event_gates": [{"forms": ["8-K"], "why": "Q3-2026 results and any Item 8.01 catastrophe-loss or reserve-strengthening announcement through 2027-03-09"}, {"forms": ["10-Q", "10-K"], "why": "loss development disclosure, ceded premium/retention, and shares-plus-dollars repurchased so the revealed average buy price is recomputed each quarter"}, {"forms": ["4", "144"], "why": "quantify the 5/6-6/9 insider sale cluster whose magnitude both benches left unverified"}], "catalyst_dates": [{"date": "2026-10-22", "what": "Q3-2026 results: consolidated GWP inflection, ex-commercial-property GWP, accident-year CR ex-development, development points, NII step", "confirmed": false}, {"date": "2026-10-22", "what": "KNSL-EXITREV: re-derive the exit expression (rungs/alerts/exemption) and verify the price rails against the live tape", "confirmed": false}, {"date": "2027-01-01", "what": "reinsurance treaty renewal – where a further net-retention step-up would appear and fail reopen condition (c)", "confirmed": false}, {"date": "2027-02-25", "what": "FY2026 10-K (estimated): loss development triangles, the only annual test of reserve adequacy", "confirmed": false}, {"date": "2027-03-09", "what": "end of the 8-K watch window", "confirmed": false}], "immediate_entry": null, "unverified": [{"item": "Direction of E&S casualty rate change outside commercial property – the axis the whole thesis turns on", "instrument": "rate-filing / submission-flow dataset (none in toolkit); proxy via broker-survey commentary and peer earnings releases at the 2026-10-22 print", "drainable_now": false, "estimate": {"range": "-2% to +2% rate change over next 4 quarters", "basis": "issuer's disclosed ex-commercial-property GWP +3.7% alongside management's competitive-market description; specialty-cycle base rates", "p": 0.45}}, {"item": "Loss development triangles / true base rate of favorable prior-year development behind the 4.5 points", "instrument": "XBRL pull of the loss development triangle from the FY2026 10-K (est. 2027-02-25); no triangle pulled by either bench", "drainable_now": false, "estimate": {"range": "+2 to +5 points favorable next 2 years, decaying to 0 to -2 points by 2028-2029", "basis": "hard-market 2022-24 vintages exhausting; specialty-casualty development base rates", "p": 0.4}}, {"item": "In-force property catastrophe aggregate by geography (retained net, post-retention-increase)", "instrument": "not obtainable – insurers do not disclose geocoded in-force exposure; missing disclosure, not missing connector. Nearest proxy: peer PML disclosures in 10-K risk sections", "drainable_now": false, "estimate": {"range": "3-7% of equity net PML at 1-in-100", "basis": "sibling specialty-insurer PML disclosure norms; adjusted upward for the disclosed retention increase", "p": 0.1}}, {"item": "2027 reinsurance treaty terms – whether net retention rises again at renewal", "instrument": "10-K/10-Q ceded premium and retention disclosure after 2027-01-01; earnings-call Q&A", "drainable_now": false, "estimate": {"range": "60% chance of a further retention step-up; ceded premium ratio down another 100-300bp", "basis": "observed GWP -5.0% vs NWP -1.4% pattern plus softening reinsurance pricing", "p": 0.6}}, {"item": "New-money and book investment yield – actual size of the reinvestment mechanism", "instrument": "8-K Ex-99.1 investment-income disclosure at the 2026-10-22 print; XBRL pull of invested assets and NII", "drainable_now": false, "estimate": {"range": "book yield 4.9% to 5.0-5.2%; ~$0.30/sh after tax, ~1.4% of FY26E EPS", "basis": "NII $55.7M/qtr on ~$4.5B invested assets = ~4.9%; 19bp on the base", "p": 0.7}}, {"item": "Insider sale magnitude from the 5/6-6/9 Form 4 cluster plus the 5/26 Form 144 (accession 0001921094-26-000554)", "instrument": "EDGAR Form 4/144 XBRL parse – aggregate shares and dollars; neither bench ran it", "drainable_now": true, "estimate": null}, {"item": "Options chain with chain-level midpoint IV, IV percentile, real quotes for the $310 put and $400/$450 calls, plus average daily volume", "instrument":

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"IBKR gateway chain + ADV snapshot; must use chain-level midpoints, never the
underlying aggregate IV feed (TSSI 71-vs-101 lesson)", "drainable_now": true,
"estimate": null}, {"item": "Confirmation of the 2026-10-22 Q3 report date
(currently vendor-derived, not company-confirmed)", "instrument": "company
investor-relations press release / IR calendar check", "drainable_now": true,
"estimate": null}]}
```

EVENT ADDENDUM — 2026-09-11 03:43Z

ADJUDICATED — HOLD — NO ADD (RP_FAIR); nothing staged

Thesis REJECTED for KNSL: the rate mechanism is worth ~1% of EPS (19bp on \$3.4B float ≈ \$0.28/sh) against a 25.6% drawdown; the “11.7x” was a GAAP-annualization artifact (operating EPS \$5.54 → ~17x FY26, 4.0x book); the named kill (E&S softening) fired in the 7/23 8-K (GWP –5%, commercial property –32.7%) — a year-old consensus fact already in the price. Blue’s residual-income read is adopted as the ruling: at ROE ~24.8% the fair P/B is 4.0x — exactly the tape — so the name is VERIFIED FAIR on trailing ROE with the soft cycle unpaid-for; on accident-year ROE (~22%) fair is ~\$304. Red’s float-stall kill is vacated (net written –1.4%, earned +10%, float grew to \$3.4B). HOLD the 37 shares (immaterial); no add; no premium sale (IV at the 8th percentile).

GATES: Re-court on price <\$310 (≈3.4x book) OR consolidated GWP inflecting positive · Accident-year combined ratio ≤80% with development <2 points